

Requests From Huntsman's Largest Shareholders for Material Environmental Risk Oversight Have Gone Unaddressed

Many of Huntsman's largest shareholders have, for years, publicly called for TCFD-aligned disclosures, yet under the Board's failed oversight, such information has yet to be disclosed.

In 2020, institutional shareholders strongly advocated for portfolio companies to provide TCFD – aligned reporting

“BlackRock was a founding member of the Task Force on Climate-related Financial Disclosures (TCFD)...This year, we are asking the companies that we invest in on behalf of our clients to... disclose climate-related risks in line with the TCFD's recommendations, if you have not already done so.”

*2020 Letter to the CEOs
BlackRock*

Ahead of 2020/21 proxy season, Huntsman promised to “evaluate” TCFD-aligned disclosures, seemingly to avoid having shareholders withhold support for its directors

“In 2021, we initiated a review of the Task Force on Climate-related Financial Disclosures (TCFD) disclosure requirements, and we are evaluating additional disclosures in the future that will align with TCFD.”

Huntsman Corporation 2021 Proxy Statement

In 2022, OVER TWO YEARS AFTER shareholders' initial request, the Company still has no TCFD-aligned disclosures

“In 2021, we completed an analysis of the Task Force for Climate-Related Disclosures (TCFD) and will begin to disclose along the TCFD in our next Sustainability Report....We believe moving to a low-carbon economy will make both society and the environment more sustainable. Accordingly, we announced our goal to achieve carbon neutrality by 2050.”

Huntsman Corporation 2022 Proxy Statement

The Board has failed to respond to shareholders' repeated requests for significant environmental risk oversight.

We Also Believe Improvement Is Needed in Huntsman's Human Capital Management Reporting

We are deeply concerned that Huntsman, in contrast to its Primary Peers, does not provide investors or employees with a fulsome view into the Company's current workforce composition or practices.

Sustainability Comparison

	 HUNTSMAN	 EASTMAN	 Celanese	 DOW
Diversity Equity & Inclusion Reporting	✗	✓	✓	✓
Principles / Mission Statement	✗	✓	✓	✓
Workforce Composition Data	Male / Female by region	✓	✓	✓
Training & Retention Programs	✗	✓	✓	✓
Resource / Affinity Groups	✗	✓	✓	✓
Pay Parity	✗	✓ by 2030	✓ Acknowledge this is under progress	✓
Benefits Disclosure	✗	✓	✓	✓
2020 Reflection on COVID-19	✓ (via website)	✓	✓	✓
2020 Reflection on Social Justice	✗	✓	✗	✓
EEO-1 Disclosure	✗	✗	✗	✓

Huntsman should provide greater disclosure on human capital management, in line with its Primary Peers.

10. Conclusion

We Have Identified Four Directors Whom We Believe Need to Be Replaced to Achieve Accountability

Huntsman needs strong, capable, and independent directors who will hold management accountable. We believe these incumbent directors are unable or unwilling to do so due to conflicts, poor governance, and/or a lack of experience.

Incumbent Directors Starboard Believes Are Problematic For a Best-in-Class Board



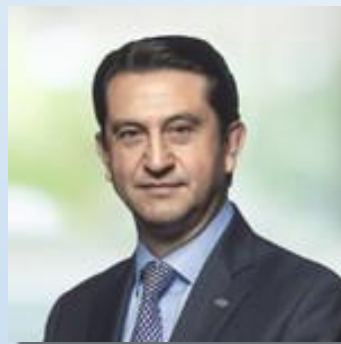
Dr. Mary Beckerle
Director Since 2011
Not Independent



Daniele Ferrari
Director Since 2018



Cynthia Egan
Director Since 2020



José Muñoz
Director Since 2022

Given their actions to date, we believe these four directors are highly unlikely to demand accountability.

We Believe Dr. Beckerle Is Not Truly Independent and Is Responsible for Widespread Governance and Compensation Failures

We believe Dr. Beckerle is not independent due to substantial conflicts of interest. We also believe Dr. Beckerle has a troubling pattern of sanctioning poor governance, problematic compensation practices, and other shareholder unfriendly behavior.

Dr. Beckerle has served as a director for over 10 years despite obvious and troubling financial conflicts of interest.

- CEO of HCI, which has received almost \$750 million from the Huntsman Family, as well as substantial donations from other directors.
- Receives greater than \$1 million in annual compensation from HCI and the HCF.
- Fired and then reinstated as HCI's CEO after the Huntsman family threatened to withhold \$250 million in donations.

As a member of the Governance Committee for over 10 years, Dr. Beckerle is complicit in many poor governance practices.

- Failed to address other concerning interlocks such as Nolan Archibald, Anthony Burns, Daniele Ferrari, and Wayne Reaud.
- Approved a rushed and defensive refreshment process, following Starboard's involvement, that added directors lacking public board experience.
- Repeatedly waived the Board's retirement policy for long-tenured and interconnected directors.
- Approved defensive measures (e.g., shortened nomination window, refused universal proxy card, and badgered Starboard and its nominees).

As a Board member for over 10 years, Dr. Beckerle is complicit in the following problematic compensation practices.

- Approved inappropriately large Proxy Peers to benchmark executive compensation.
- Despite poor operating and financial performance, awarded the CEO the highest base salary out of the already-inflated Proxy Peers.
- Approved annual cash bonus Adj. EBITDA targets well below the goals set forth at three consecutive investor days.
- Approved a mid-year downward adjustment to the Adj. EBITDA targets in 2020 – Huntsman was the only company among peers to do so.
- Approved a lopsided annual cash bonus payout structure that significantly favored higher bonuses.
- Approved questionable and repeated Performance Peer selection practices.
- Approved concerning corporate perquisites and other perks.

The Company deserves better. We can do better. Our nominees are better.

We Believe Mr. Ferrari Is Conflicted and Responsible for Widespread Governance and Compensation Failures

We believe Mr. Ferrari has a troubling history of conflicts and potential self-dealing, including being on both the Huntsman and Venator boards while Huntsman sold its Venator stake to SK Capital at fire sale prices, and then joined SK Capital shortly thereafter.

Mr. Ferrari has a history of interconnections, prior outside relationships, and troubling potential self-dealing.

- Not only was Mr. Ferrari on both the Venator and Huntsman Boards when Huntsman sold SK Capital its Venator stake, but Mr. Ferrari then joined SK Capital shortly after SK Capital recognized a significant profit on the transaction.
- Previously directly reported to Peter Huntsman and Sir Robert Margetts.
- Prior to joining the Huntsman Board, Mr. Ferrari was on the Venator Board with both Mr. Huntsman and Sir Margetts.
- During Mr. Ferrari's tenure as a Venator Director, significant value has been destroyed.

As a member of the Compensation Committee since 2018, Mr. Ferrari is directly responsible in the following problematic compensation practices.

- Approved inappropriately large Proxy Peers to benchmark executive compensation.
- Despite poor operating and financial performance, awarded the CEO the highest base salary out of the already-inflated Proxy Peers.
- Approved annual cash bonus Adj. EBITDA targets well below the goals set forth at the 2018 Investor Day.
- Approved a mid-year downward adjustment to the Adj. EBITDA targets in 2020 – Huntsman was the only company among peers to do so.
- Approved lopsided annual cash bonus payout structure that significantly favored higher bonuses.
- Approved questionable and repeated Performance Peer selection practices.
- Approved concerning corporate perquisites and other perks.

As a Board member, Mr. Ferrari is complicit in many poor governance practices.

- Classified Dr. Beckerle as an independent director despite significant financial conflicts of interest.
- Repeatedly waived retirement policy for long-tenured and interconnected directors.
- Approved defensive measures (e.g., shortened nomination window, refused universal proxy card, and badgered Starboard and its nominees).

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As Lead Director, We Believe Ms. Egan Has Perpetuated Poor Governance and Undertaken Shareholder Unfriendly Actions

Under Ms. Egan's leadership, the Board has undertaken several shareholder unfriendly actions that we believe were designed to maintain an entrenched Board. We believe these actions prove Ms. Egan cannot be trusted to provide much-needed accountability at Huntsman.

Since Ms. Egan was appointed Lead Director in January 2022, the Board has engaged in several troubling actions.

- Shortened the nomination window from ~1 month to 10 days in a transparent attempt to prevent shareholders from participating in the Board selection process.
- Repeatedly refused requests to use a universal proxy card despite being widely accepted as governance best practice.
- Badgered Starboard and its nominees with repeated legal letters.
 - Ms. Egan has employed similar tactics in response to legitimate shareholder concerns in her position as a director of another board.

As a member of the Nominating and Corporate Governance Committee, Ms. Egan has approved other poor governance practices.

- Approved a rushed refreshment process which simultaneously replaced four committee chairs with individuals largely lacking any public board experience.
- Repeatedly approved Dr. Beckerle as an independent director despite significant financial conflicts of interest.
- In addition to Dr. Beckerle, failed to address other concerning interconnections.
- Repeatedly waived the mandatory retirement policy for legacy and interconnected directors.

As a Board member since 2020, Ms. Egan is complicit in the Board's problematic compensation practices.

- Approved inappropriately large Proxy Peers to benchmark executive compensation.
- Despite poor operating and financial performance, awarded the CEO the highest base salary out of the already-inflated Proxy Peers.
- Approved a mid-year downward adjustment to the Adj. EBITDA targets in 2020 – Huntsman was the only company among peers to do so.
- Approved lopsided annual cash bonus payout structure that significantly favored higher bonuses.
- Approved questionable and repeated Performance Peer selection practices.
- Approved concerning corporate perquisites and other perks.

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We Believe Mr. Muñoz Is Too Inexperienced to Drive Change and Demand Accountability

Given the broad universe of potential candidates, we question why Mr. Muñoz was selected as the best possible director given his apparent lack of public board experience, questions surrounding the circumstances of his departure from a former employer, and no meaningful chemicals industry expertise. In Mr. Muñoz's short tenure on the Board, we believe he has already proved unwilling or incapable of driving change or accountability.

Mr. Muñoz appears to be too inexperienced to serve on Huntsman's Board given the Board's poor governance and poor culture of accountability.

- Mr. Muñoz has never served as an independent director on a public Board.
- Despite being a senior member of management at Nissan and Hyundai, Mr. Muñoz does not appear to have any meaningful chemicals expertise.
- In his prior role at Nissan, Mr. Muñoz apparently refused to assist efforts to hold management accountable.
- We believe all of our nominees are more qualified to add value to Huntsman's Board than Mr. Muñoz.

Since Mr. Muñoz was appointed to the Board in January 2022, the Board has continued to undertake shareholder unfriendly actions, suggesting that Mr. Muñoz is either unable to effectuate change or willing to entertain poor governance practices.

- Shortened the nomination window from ~1 month to 10 days in a transparent attempt to prevent shareholders from participating in the Board selection process.
- Repeatedly refused requests to use a universal proxy card despite being widely accepted as a governance best practice.
- Badgered Starboard and its nominees with repeated legal letters.

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